

CONFIDENTIAL MEMORANDUM

To: Investment Committee, Bank of Leeds

From: Strategic Development Division

Subject: Proposal for the Establishment of Yorkshire Specialist Private Hospital PLC

Date: July 2026

Executive Summary

This memorandum presents a proposal for the Bank of Leeds to finance and sponsor the creation of **Yorkshire Specialist Private Hospital PLC**, a new private healthcare institution designed to expand Yorkshire's medical capacity while generating a long-term financial return for regional investors.

The proposed hospital represents a strategic opportunity for the Bank of Leeds to deploy capital into a productive regional asset rather than simply providing conventional lending.

The project would establish a modern specialist private hospital in Leeds, serving the wider Yorkshire economy through:

- Elective surgery
- Specialist medical treatment
- Diagnostic services
- NHS partnership capacity
- Corporate health programmes
- Medical innovation activity

The proposed initial investment requirement is:

£47 million

The hospital is projected to achieve:

- Annual revenue at maturity: approximately £47 million
- Operating surplus: approximately £15 million annually
- Direct employment: approximately 250 highly skilled jobs

- Indirect employment impact: 500+ jobs
- Potential enterprise valuation: £100–120 million

The investment aligns with the Bank of Leeds' wider strategic objective of supporting productive regional growth, creating new economic capacity and strengthening Yorkshire's position as a centre of healthcare excellence.

1. Strategic Rationale

Yorkshire Healthcare Opportunity

Yorkshire represents one of the largest regional economies in the United Kingdom, with a population exceeding five million people and significant demand for healthcare services.

The private healthcare market has expanded due to:

- Increased demand for faster treatment
- NHS waiting list pressures
- Growth in employer-funded healthcare
- Rising demand for preventative medicine
- Ageing demographics

Despite Yorkshire's significant population, private healthcare provision remains concentrated around London and major national operators.

The Bank of Leeds has an opportunity to establish a regional healthcare institution with Yorkshire ownership.

2. Investment Thesis

The central investment thesis is:

Healthcare infrastructure represents a productive regional asset capable of generating stable cash flows while increasing local economic capacity.

Unlike speculative property development, a specialist hospital creates:

- Skilled employment
- Medical expertise
- Service exports
- Research opportunities
- Regional productivity gains

The hospital would become a cornerstone asset within a broader Yorkshire health economy.

3. Proposed Development

Yorkshire Specialist Private Hospital

Location

Preferred location:

Leeds Health Innovation Corridor

The development would benefit from:

- Access to Leeds city centre
 - Existing healthcare infrastructure
 - Transport connectivity
 - Proximity to universities
 - Availability of skilled workers
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Initial Facility

Phase One Development

Facility	Capacity
Private hospital beds	25
Operating theatres	2
MRI scanner	1
CT scanner	1
Specialist consultation rooms	8
Day surgery facilities	2
Recovery beds	5

4. Clinical Strategy

The hospital would focus on high-demand, commercially sustainable medical areas.

Core Services

Orthopaedics

Including:

- Hip replacement
- Knee replacement
- Sports medicine
- Rehabilitation

Ophthalmology

Including:

- Cataract procedures
- Vision correction
- Specialist eye care

Diagnostics

Including:

- MRI scanning
- CT imaging
- Preventative screening

Cardiology

Including:

- Diagnostic assessment
- Specialist consultations

Executive Health

Providing:

- Corporate health packages
 - Preventative medicine
 - Comprehensive screening
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5. Capital Requirement

Development Budget

Category	Investment
Land acquisition	£2.5m
Hospital construction	£22m
Medical equipment	£10m
Digital infrastructure	£2.5m
Innovation facilities	£4m
Working capital	£4m

Total Required Capital

£47 million

6. Proposed Financing Structure

Yorkshire Medical Investment Fund

The Bank of Leeds would establish a dedicated investment vehicle.

Capital Structure

Investor	Contribution
Bank of Leeds	£15m
Yorkshire pension capital	£10m
Private investors	£10m
Healthcare operator	£7m
Development finance	£5m

Total Funding

£47 million

7. Ownership Structure

The project would operate through:

Yorkshire Specialist Healthcare PLC

Ownership would consist of:

- Bank of Leeds investment division
- Institutional investors
- Healthcare operator
- Medical professionals
- Regional stakeholders

The structure allows the Bank of Leeds to retain strategic influence while bringing specialist healthcare expertise into operations.

8. Revenue Model

The hospital would operate through multiple revenue streams.

Private Healthcare Revenue

Inpatient Care

25 beds

75% occupancy:

19 occupied beds

Estimated annual revenue:

£10 million

Surgical Revenue

Two operating theatres.

Estimated:

3,000 procedures annually

Average procedure value:

£8,000

Estimated revenue:

£24 million

Diagnostics

MRI, CT and pathology services:

£5 million annually

NHS Partnership Services

Capacity agreements:

£5 million annually

Corporate Health Programmes

Employer-funded healthcare:

£3 million annually

Total Annual Revenue

Approximately £47 million

9. Operating Forecast

Annual Operating Costs

Category	Cost
Medical professionals	£9m
Nursing and clinical staff	£9m
Equipment and maintenance	£2.5m
Property costs	£2m
Administration	£4m

Category	Cost
Medical supplies	£5m

Total Operating Costs

£31.5 million

Operating Surplus

Revenue:

£47 million

Costs:

£31.5 million

Estimated EBITDA:

£15.5 million

10. Investment Return

The hospital is expected to become a valuable healthcare infrastructure asset.

Assuming:

- EBITDA: £15.5 million
- Healthcare valuation multiple: 8×

Potential enterprise value:

£120 million

The Bank of Leeds investment therefore has the potential to create substantial long-term value while supporting regional economic development.

11. Economic Impact

Employment Creation

Direct employment:

Category	Jobs
Consultants and doctors	40
Nurses	120
Technicians	30
Administration	50
Research staff	10

Total direct employment:

Approximately 250 jobs

Indirect employment:

500+ additional jobs

12. Strategic Expansion Potential

The initial hospital represents the foundation of a larger Yorkshire healthcare platform.

Future expansion could include:

Yorkshire Health Innovation Centre

Potential areas:

- Medical technology companies
- Artificial intelligence diagnostics
- Clinical research
- Biotechnology firms
- Digital healthcare services

The initial £47 million investment could become the first stage of a wider regional healthcare cluster.

13. Recommendation

The Strategic Development Division recommends that the Bank of Leeds:

1. Establish a Yorkshire Medical Investment Fund.
 2. Commit initial capital of £15 million.
 3. Secure healthcare operating partners.
 4. Develop Yorkshire Specialist Private Hospital PLC.
 5. Evaluate future expansion into medical innovation and research.
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Conclusion

The Yorkshire Specialist Private Hospital represents an opportunity for the Bank of Leeds to demonstrate a new model of regional banking.

The project moves beyond traditional lending by creating productive assets that generate employment, enterprise and long-term economic value.

A successful first hospital would establish the foundation for a wider Yorkshire healthcare economy.

Recommendation: Proceed to feasibility study and investment partner negotiations.